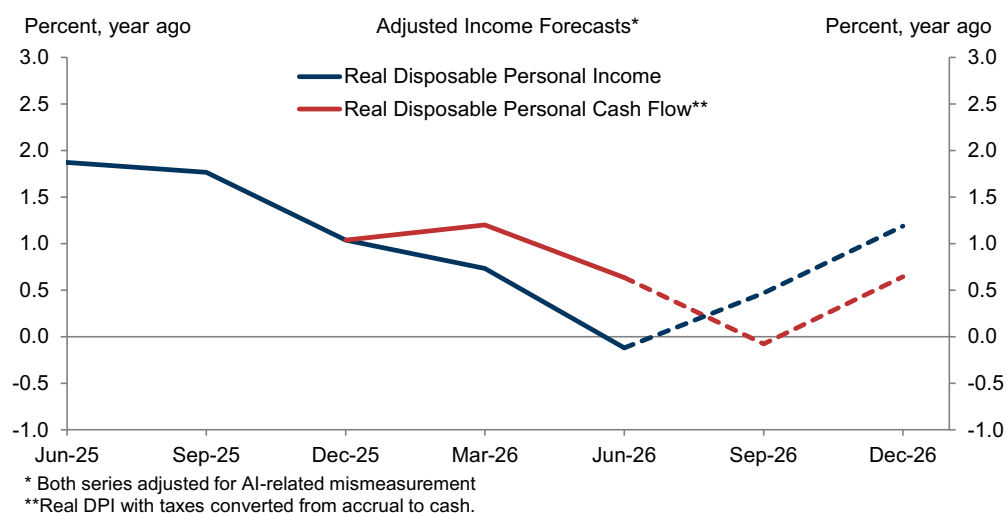


Global Views: They're Not Hiking

1. Although the drop in US retail sales in July partially reflects payback for an earlier-than-usual Amazon Prime day, the revised path now looks much more consistent with our view that the strength of real consumer spending in the spring was the temporary byproduct of the tax refund surge, and that real spending growth will slow to 1-1.5% in H2 as real cash flow stagnates. Moreover, the risks to this forecast are on the downside because the Strait of Hormuz remains closed and a renewed spike in gasoline prices would further hurt consumers, especially those with lower and middle incomes. Strong business investment and the lagged effects from earlier large equity wealth gains should continue to support overall GDP growth, but we feel comfortable with our view that the pace will remain slightly below potential.

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Exhibit 1: Weakness in Real Income and Cash Flow Weighs on Consumption

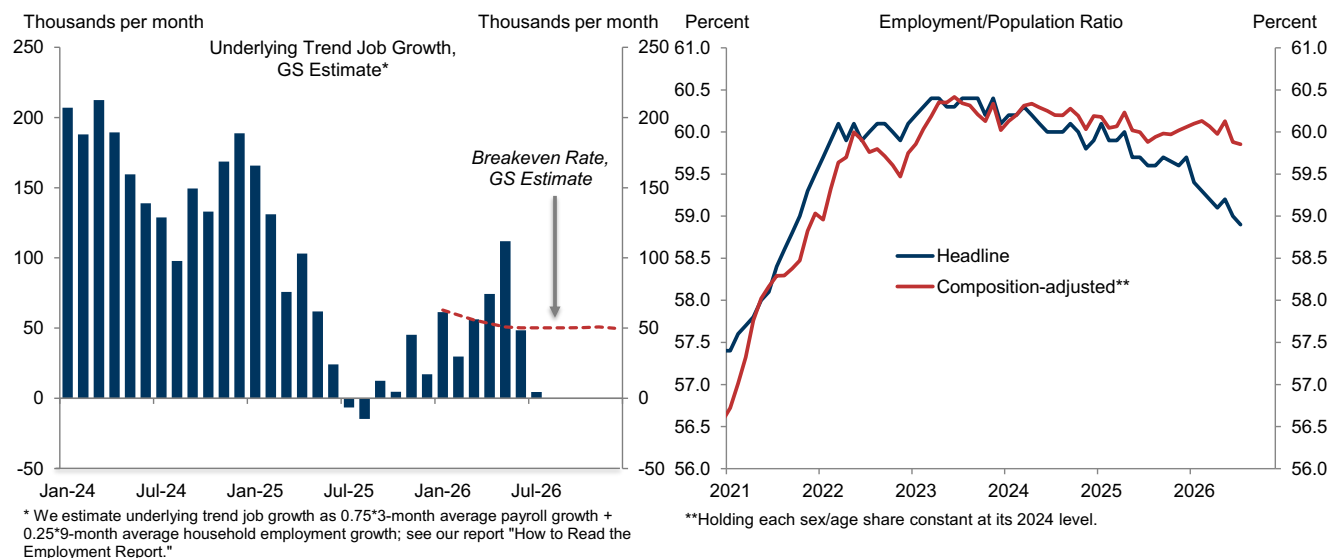


Source: Goldman Sachs Global Investment Research

2. With nonfarm payrolls and household employment down on the month, our estimate of underlying trend job growth slowed further to just 5k in July. Since this is below our estimate of breakeven job growth of 50k, similar numbers in coming months would probably reverse some of the decline in the unemployment rate from 4.5% in December to 4.1% in July. We think this decline deserves less weight than it normally would because it has been driven by lower labor force participation, not higher employment. This is visible not only in the headline employment/population ratio (whose sharp decline is partly driven by changes in the age structure of the population) but to some degree also in a composition-adjusted version that holds the age structure constant over time. The continued weakness in wage growth also argues against the notion that the labor market is tightening.

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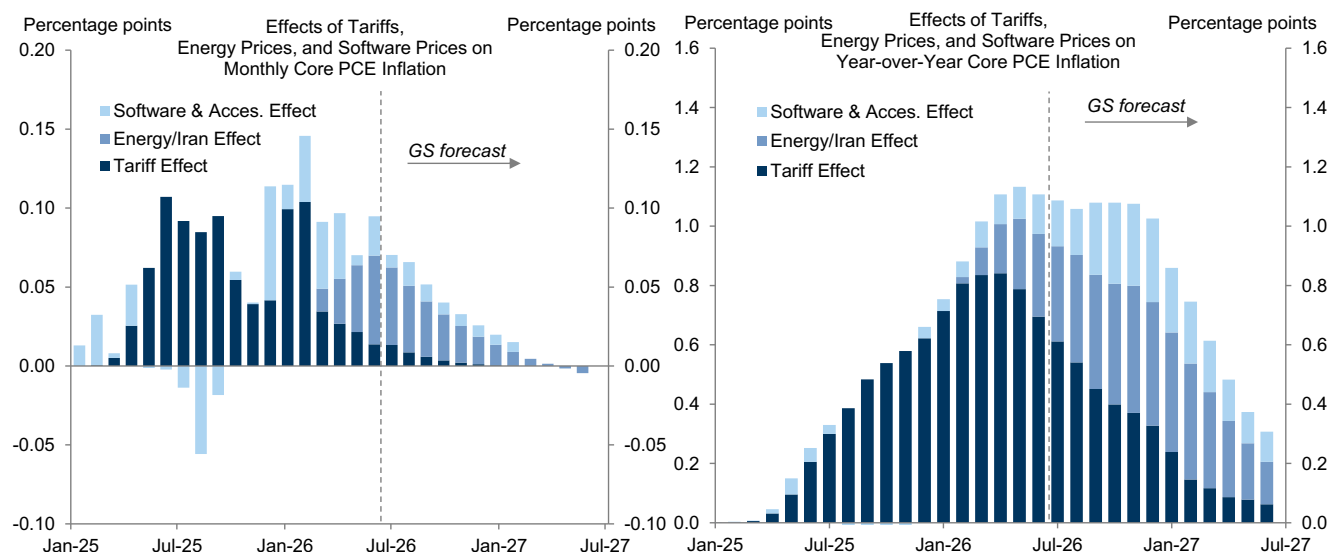
Exhibit 2: The Labor Market Is Not Tightening, Despite Lower Unemployment



Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

3. The US inflation news has improved meaningfully in the past two months. Following a 0.13% increase in June, core PCE is on track for 0.20% in July, with more than half of this gain coming from portfolio management services. That category is not only poorly measured and defined—most people don't view paying a constant percentage fee on a growing portfolio as a price increase—but will also get revised repeatedly in coming months, with a large downward revision coming at the end of September. With other temporary inflation drivers such as tariffs, software/accessories, and energy likely to subside as well—some soon, others later—we continue to expect core PCE inflation to fall to near 2% in 2027.

Exhibit 3: The Impact of Temporary Inflation Drivers Such as Tariffs, Software, and Energy on Year-on-Year Core PCE Inflation Should Improve Sharply Over the Next Year

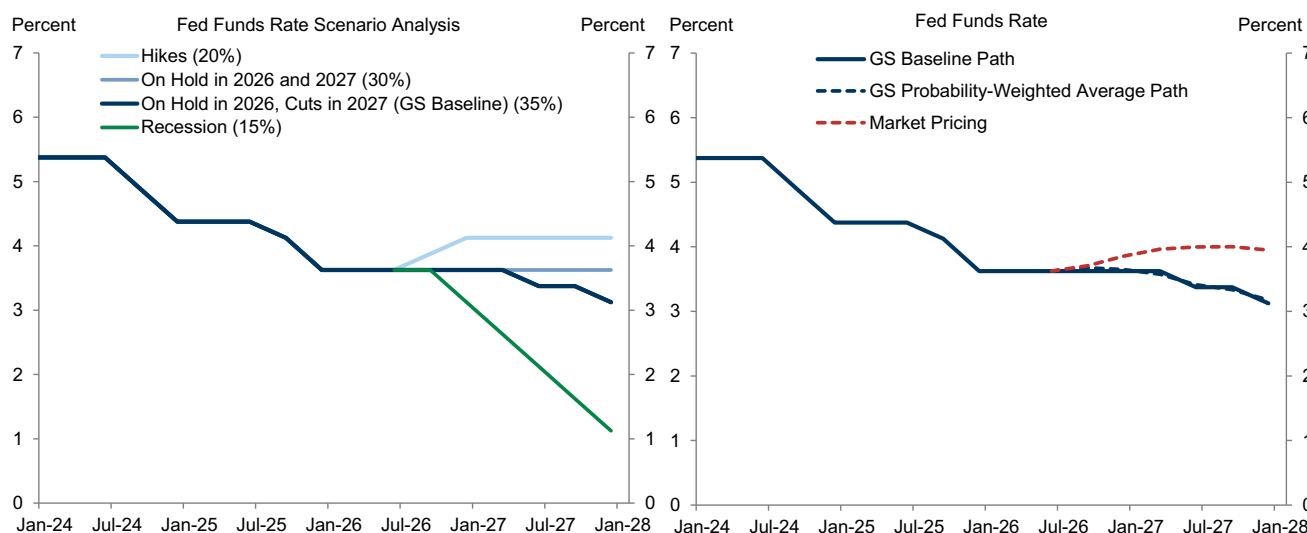


Source: Goldman Sachs Global Investment Research

4. Although 9 of the 18 FOMC participants that submitted dots at the June meeting projected hikes in 2026, we estimated at the time that only 4-5 of the 12 voting FOMC

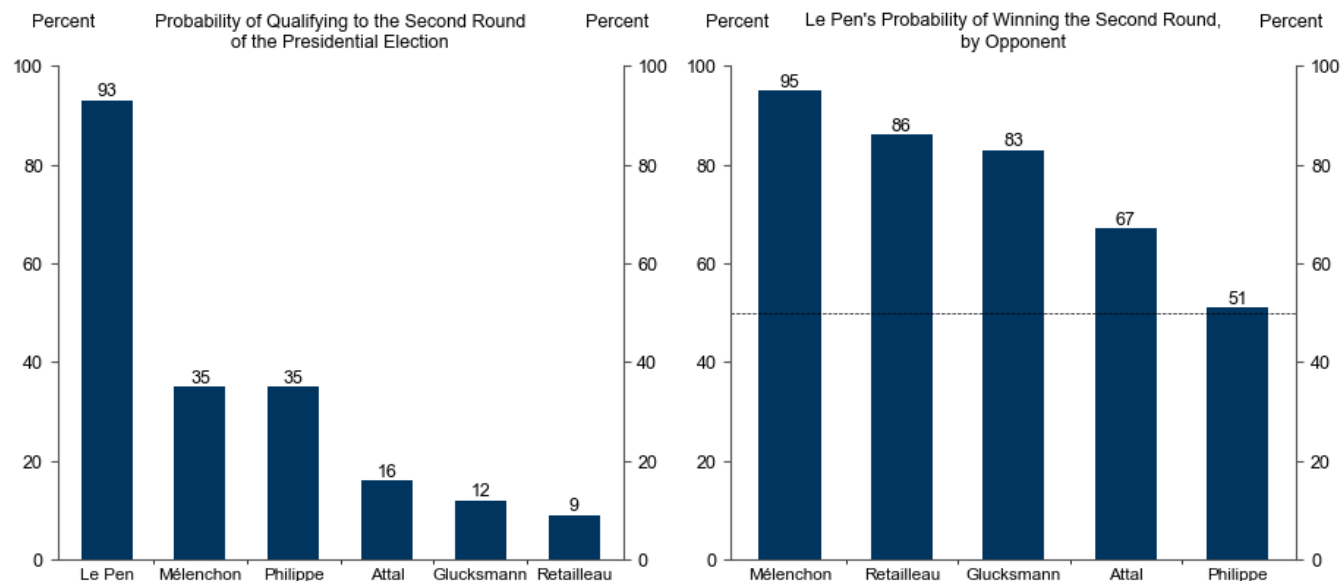
members fell into this group. Since then, the hawks have become louder, with three outright dissents at the July meeting. But after two months of materially softer jobs and inflation data, it's hard to see any of the doves shifting toward hikes. Therefore, a hike at the September meeting has become very unlikely, barring a dramatic shift in the tone of the August data due in early September (which we don't expect). And under our baseline economic forecasts, the inflation news is more likely to improve further than to deteriorate anew as the year progresses. Hence, we still think market pricing for the funds rate is too hawkish.

Exhibit 4: Fed Pricing Has Turned Less Hawkish, But There Is Further to Go



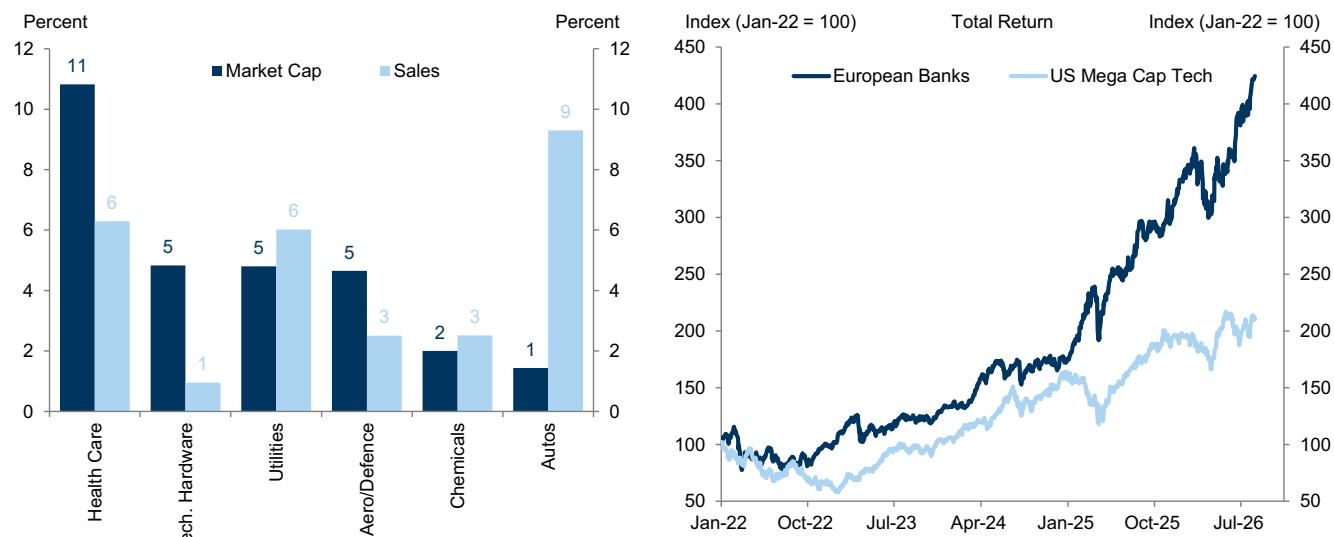
Source: Bloomberg, Goldman Sachs Global Investment Research

5. With energy prices high but core inflation only modestly above target, we remain comfortable with our call that the ECB will hike by 25bp in September but that the next move is down (we think in mid-2027). Beyond the cyclical news, attention is shifting to the 2027 French presidential election, with the first round on April 18 and the runoff among the top two candidates on May 2. Our new poll-based model shows that far-right Marine Le Pen currently has about a two-thirds chance of becoming president. The runoff will be competitive if her second-round opponent is former prime minister Edouard Philippe (whose first-round polls currently put him in second place behind Le Pen) or another centrist. But Le Pen will almost certainly win if she faces far-left Jean-Luc Melenchon (whose first-round polls put him in third place but who has a history of outperforming his polls).

Exhibit 5: Marine Le Pen Is the Frontrunner, and Will Almost Certainly Win if Melenchon Reaches the Runoff

Source: Goldman Sachs Global Investment Research

6. European (including UK) equities have performed—and could continue to perform—much better than the often-downbeat economic discussion suggests, for two reasons. First, much of the weakness in European GDP growth comes from sectors that aren't important for the stock market (e.g. autos represent just 1% of market cap) or from forces that look very different from the vantage point of the stock market as opposed to the broader economy (e.g. higher oil prices are bad for European GDP but good for European stocks given the large index weight of oil producers). This is the key reason why earnings per share in the Stoxx 600 grew 14% in H1 despite nominal GDP growth of only 3.3% (and real GDP growth of 0.7%). Second, the growth gap with the US is matched by lower valuations. Partly for this reason, the Stoxx 600 has outperformed the S&P 500 over the past 18 months, while European Banks—the leading sector—have massively outperformed US megacap tech since 2022. A good part of this outperformance is a one-off re-rating, but European valuations remain reasonable.

Exhibit 6: The Stoxx 600 Is Concentrated in Stronger Sectors; European Banks Have Surged Since 2022

Source: Datastream, Goldman Sachs Global Investment Research

7. Whether resolving China's economic imbalances requires a stronger RMB or stronger domestic demand is a false dichotomy. On our estimates, the RMB is at least 20% undervalued, and China's ongoing gains in manufacturing competitiveness—i.e., the ongoing decline in China's producer prices relative to US or global producer prices—boost that number every year unless the nominal exchange rate appreciates commensurately. It is therefore hard to see how external balance could ever be achieved without a large nominal exchange rate appreciation. That said, the weakness in domestic demand already threatens to push growth well below potential, and a stronger RMB would take an additional toll. The classic solution to this quandary—first suggested by Australian economist Trevor Swan in the 1950s—is an exchange rate appreciation combined with a domestic demand boost (e.g. via an expanded social safety that makes consumers more comfortable spending). Such a combination of policies could move China's economy closer to external balance without undermining growth and employment.

Exhibit 7: China Needs a Stronger Currency as Well as Stronger Domestic Demand

Source: Haver Analytics, Goldman Sachs Global Investment Research

8. Our rates strategists expect the US Treasury curve to steepen further on the back of better inflation news, reduced hike premium, and troubling budget news. Great Q2 earnings and a stabilization in the AI trade have helped equity markets make new highs, and our equity strategists expect the major indices to continue trending higher into yearend. Our credit strategists note that AI-related spreads are likely to keep climbing alongside heavy issuance of data center debt. Our FX strategists think the benign global inflation news should prolong the “summer of carry”, supporting higher yielding currencies such as the US dollar relative to lower yielding substitutes such as the Canadian dollar or the euro relative to the Swiss franc. Despite historic intervention efforts, the Japanese yen still falls into the latter category without a more meaningful shift in the domestic policy mix than we think is likely or warranted. Finally, our commodity strategists note that with global oil demand recovering, inventories are again falling quickly and will reach all-time lows (in a series available back to 2018) if the Strait of Hormuz doesn’t reopen soon.

Exhibit 8: Global Oil Inventories Still Set to Reach Historic Lows If the Strait Doesn't Reopen Soon

Source: IEA, Kpler, DOE, Euroilstocks, ARA PJK, PAJ, Haver, Refinitiv Eikon, Goldman Sachs Global Investment Research

Jan Hatzius

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Reg AC

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